

DOCEBO INC. · TSX: DCBO · REVERSE DCF

The market is betting Docebo loses a quarter of its revenue every year

At C\$33.22, Docebo's share price only makes sense if about 24.5% of its recurring revenue cancels each year. The company's reported 99% net revenue retention points to about 9%.

The hidden bet: 24.5% annual churn.

We rebuilt Docebo's business as a 10-year ARR model and solved for the churn rate that matches today's price. That is 2.7× the ~9% implied by the company's own retention figure.

The price assumes no new customers.

If Docebo never signed another new customer and only kept its current base at reported retention, our model still values the stock at C\$35.41, above the market price.

At reported churn, the model value is C\$69.83.

That uses a 10% discount rate. Across 8–12% discount rates, the value at reported churn ranges from C\$53 to C\$99.

What would make the market right:

AI replacing corporate training software, more large customers leaving after AWS, or margins falling back. The deciding number to watch is net revenue retention in the Q3-2026 results (early November).

Key data

Share price (TSX)	C\$33.22
Model value (base)	C\$69.83
Implied upside	+110%
Shares outstanding	24.95M
Market cap	C\$829M
Net debt	US\$42M
Enterprise value	US\$630M
ARR (Jun-26)	US\$255.1M
ARR growth	9.5%
Gross margin	79.4%
LTM free cash flow	US\$48.7M
EV / ARR	2.5×
EV / LTM FCF	12.9×

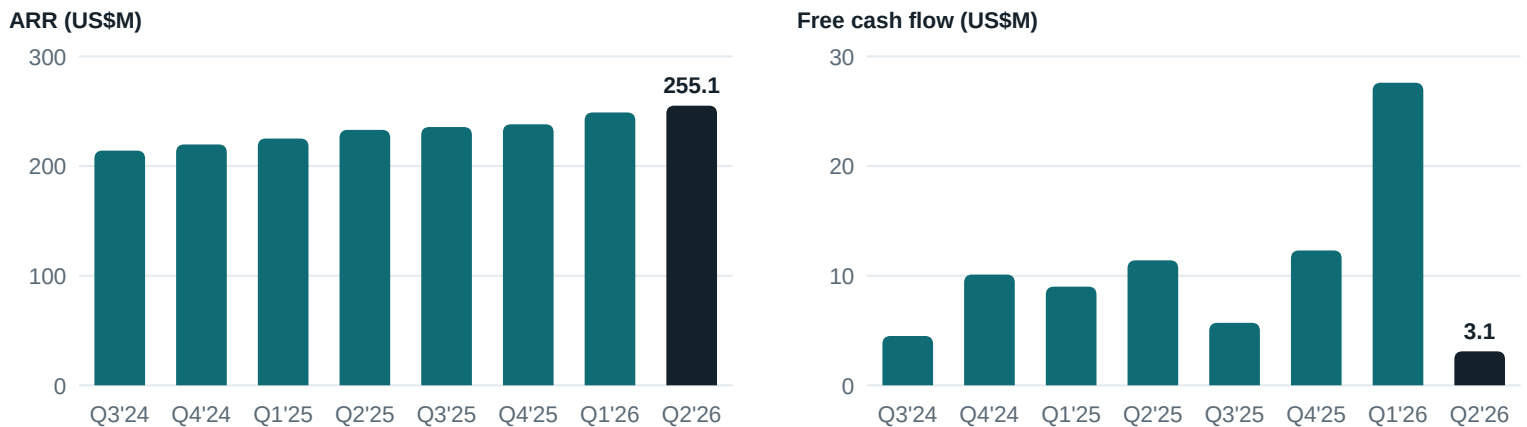
Market-implied view:
pessimistic

1. Company overview

Docebo sells a cloud learning platform that companies use to train employees, customers and partners. Revenue is almost entirely subscription-based (93% in Q2-2026), so annual recurring revenue (ARR) is the best measure of the business. The company is headquartered in Toronto, was founded in Italy, reports in US dollars, and is listed on the TSX and Nasdaq. InterCap owns about 64% of the shares.

Growth has slowed from about 18% in 2024 to 9.5% today. Two partner relationships are winding down: AWS (Amazon), Docebo's largest OEM customer at 6.2% of ARR in Sep-2025, and Dayforce. Management says underlying growth excluding these is about 14%, and that ARR growth re-accelerated in both Q1 and Q2 2026. Meanwhile profitability has improved: adjusted EBITDA margin was 16.4% in Q2-2026, with Q3 guidance implying about 23%.

EXHIBIT 1 · ARR AND FREE CASH FLOW BY QUARTER (US\$M)



ARR grows steadily. FCF is lumpy (Q1-26 includes customer prepayments), so we value off the last-twelve-months total of US\$48.7M. Source: company releases.

2. Method: running the model backwards

A normal DCF picks assumptions and produces a share price. A reverse DCF starts from the share price and solves for the assumption the market must be using. We solve for churn because, for a subscription business, retention drives the value more than anything else. We work at the customer-dollar level instead of on a single growth rate.

- ① Ending ARR = Starting ARR + New ARR + Expansion - Churn
- ② Revenue = average(Starting ARR, Ending ARR) × 1.06 (services on top of ARR)
- ③ FCF = Revenue × EBITDA margin × FCF conversion
- ④ Value today = $\sum FCF_t \div (1 + r)^t + [FCF_{10} \times (1 + g) \div (r - g)] \div (1 + r)^{10}$
- ⑤ Price = (Enterprise value + cash - debt) ÷ shares × USD/CAD
- ⑥ Solve: Price(churn) = C\$33.22 → churn = 24.5%

"Reported churn" isn't disclosed directly, so we derive it from net revenue retention (NRR): $\text{churn} = \text{expansion} + (1 - \text{NRR}) = 8\% + (1 - 99\%) = 9\%$. All other inputs stay fixed at values anchored to reported numbers. Only churn moves.

EXHIBIT 2 · BASE-CASE FORECAST AT REPORTED CHURN (US\$M)

YEAR	1	2	3	4	5	6	7	8	9	10
Starting ARR	255.1	278.9	304.5	331.7	360.5	390.8	422.5	455.4	489.3	524.1
+ New-customer ARR	26.4	28.3	30.3	32.1	33.9	35.6	37.1	38.5	39.7	40.7
+ Expansion (8%)	20.4	22.3	24.4	26.5	28.8	31.3	33.8	36.4	39.1	41.9
– Churn (9%)	(23.0)	(25.1)	(27.4)	(29.9)	(32.4)	(35.2)	(38.0)	(41.0)	(44.0)	(47.2)
Ending ARR	278.9	304.5	331.7	360.5	390.8	422.5	455.4	489.3	524.1	559.6
Revenue	283.5	309.7	337.7	367.4	398.8	431.7	466.0	501.5	538.0	575.3
EBITDA margin	20.5%	22.3%	24.2%	26.1%	28.0%	28.0%	28.0%	28.0%	28.0%	28.0%
Adjusted EBITDA	58.0	69.2	81.8	95.9	111.7	120.9	130.5	140.4	150.6	161.1
Free cash flow	56.8	65.5	74.9	84.7	94.9	102.7	110.9	119.3	128.0	136.9
Present value at 10%	51.7	54.2	56.2	57.8	58.9	58.0	56.9	55.7	54.3	52.8

EXHIBIT 3 · FROM CASH FLOWS TO VALUE PER SHARE

Sum of PV of free cash flow, Years 1–10	556.5
PV of terminal value (2.5% growth)	721.4
Enterprise value (US\$M)	1,277.9
+ Cash / – Debt	45.7 / (88.0)
Equity value (US\$M)	1,235.6
÷ Shares (M) → US\$ per share	24.95 → 49.52
Value per share (C\$, at 1.41)	69.83
Terminal value share of EV	56%

3. The finding: four ways to read C\$33.22

Solving for churn is our main lens. The same price can be read through any single lever, holding the others at base case. Each reading tells the same story: the market is assuming something far worse than the reported numbers.

EXHIBIT 4 · WHAT TODAY'S PRICE REQUIRES, ONE LEVER AT A TIME

LEVER	REPORTED / BASE CASE	NEEDED TO JUSTIFY C\$33.22
Annual ARR churn	9.0%	24.5%
Net revenue retention (same thing, other way)	99%	83%
Long-term EBITDA margin	28% (today 18.6%)	12.7%, forever
New-customer ARR	US\$24M/yr, growing	~zero, forever
Required return (discount rate)	10%	16.5%

Solved with the same model as Exhibit 2, one lever at a time.

Even with zero new customers ever, the model gives C\$35.41 per share. That's above today's price.

In other words, the market is paying for Docebo's existing customer base only, and even then at a discount. It is pricing in no value at all for future sales.

4. Sensitivity

EXHIBIT 5 · VALUE PER SHARE (C\$): CHURN × DISCOUNT RATE

CHURN ↓ / DISCOUNT →	8%	9%	10%	11%	12%
5.0%	124.62	102.78	86.88	74.82	65.39
7.5%	107.97	89.31	75.71	65.38	57.29
9.0% (reported)	99.24	82.23	69.83	60.40	53.01
10.0%	93.89	77.89	66.21	57.34	50.37
12.5%	81.97	68.20	58.14	50.48	44.46
15.0%	71.90	59.99	51.28	44.63	39.41
20.0%	56.15	47.09	40.45	35.38	31.37
25.0%	44.80	37.74	32.55	28.58	25.43
30.0%	36.56	30.90	26.73	23.53	21.00

Green = above the C\$33.22 market price; red = below. Boxed cells are closest to the market price.

Implied churn at each discount rate

DISCOUNT RATE	8%	9%	10%	11%	12%
Implied churn	32.6%	28.1%	24.5%	21.4%	18.7%

Even at a harsh 12%, the market-implied churn is about double what Docebo reports.

Other stress tests (at reported churn)

Terminal growth 0% instead of 2.5%	C\$58.89
Margin target 20% instead of 28%	C\$50.65
No new customers, ever	C\$35.41

No single conservative change gets the value down to the market price.

5. Why the market might be right

Risks

- **AI disruption.** Generative AI could make course building and delivery a commodity, which would push churn and prices the wrong way across the category.

What would prove the market wrong

- Net revenue retention holding at 99% or above once AWS is fully out of the base.
- Continued ARR re-acceleration (two straight quarters so far).

- **Customer concentration.** The AWS and Dayforce wind-downs show that large partner accounts can leave. Retention of 99% includes some of that drag already.
- **Hidden costs.** Adjusted EBITDA excludes stock-based compensation, so our cash flows are somewhat generous.
- **Ownership structure.** A 64% controlling shareholder and a small free float can keep a lasting discount on the shares.
- EBITDA margin expanding toward the ~23% implied by Q3 guidance.
- Capital returns: management launched a US\$70M share tender (substantial issuer bid) in July 2026.

6. Conclusion and what to watch

Docebo's share price is betting on a sharp deterioration. It needs roughly 24.5% of ARR to disappear every year, or an equally severe drop in margins or new sales. The company's reported figures show nothing close to that today. If retention holds near 99%, the stock looks materially undervalued on our assumptions. If AI disruption shows up in the retention numbers, the market will have been early rather than wrong.

Catalyst: Q3-2026 results (expected early November 2026). We'll re-run the model with the new ARR, retention and price, and log whether the market's implied churn rises or falls.

Appendix: assumptions and sources

- Starting ARR US\$255.1M (30 Jun 2026). New-customer ARR US\$24.4M in the last 12 months, growing 8% and fading to 2.5% by Year 10.
- Expansion 8% of starting ARR a year (not disclosed, our assumption). Churn 9% (derived).
- Revenue per \$ of average ARR: 1.06 (from the last 12 months).
- EBITDA margin 18.6% → 28% over 5 years. FCF conversion 101% → 85%.
- Discount rate 10%, terminal growth 2.5%, USD/CAD 1.41. Year-end discounting.

Figures were compiled from company releases via public news sources. Some quarterly revenue was derived ($FCF \div FCF \text{ margin}$). Verify against filings on [sedarplus.ca](https://www.sedarplus.ca).

- [Q2-2026 results](#)
- [Q1-2026 results](#)
- [Q4 / FY2025 results](#)
- [Q3-2025 results](#)
- [Q4-2025 call: 99% net dollar retention](#)
- [Substantial issuer bid and FY2026 guidance](#)
- [TMX Money \(price\)](#)

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